

## **CHAPTER THREE: Accounting for payroll and payroll tax in Ethiopia**

### **3.1. INTRODUCTION**

Accounting systems for payroll and payroll taxes are concerned with the records and reports associated with the employer-employee relationship. Well-designed accounting system has a mechanism that ensures payroll payments should be in accord with the employment contract duly signed by both parties based on the prevailing labor laws in that jurisdiction.

All employees of an organization expect and are entitled to receive their remuneration at regular intervals following the closing of each payroll period. Regardless of the number of employees and the difficulties in computing the amounts to be paid, the payroll system must be designed to process the necessary data quickly and assure payment of the correct amount to each employee timely. The system must also provide adequate safeguards against unauthorized payments to employees and other misappropriations of funds.

The federal and regional states require employers to keep accurate payroll records that should be submitted to the appropriate authorities within the time limits prescribed in the respective laws. Employers should also reimburse the amount withheld from individual employees along with their own pension contribution within the time frame prescribed there. In addition, these records must be kept for specified periods of time to make them available for any enquiry that may arise from the regulatory bodies. Besides, payroll data may be useful in negotiations with labor unions, in settling employee grievances, and in determining rights to vacations, sick leaves, and retirement pensions.

### **3.2. Payroll and importance of payroll accounting**

 **Payroll:** It refers to the amount paid to employees for the services they provide during a period. It is the compensation of a business must pay to its employees for a set period or on a given date.

#### **► IMPORTANCE OF PAYROLL ACCOUNTING**

**Accounting for payroll is particularly important because:**

- I.** Payroll often represents the largest expense that a company incurs.
- II.** Both federal and state governments require that detailed payroll records be kept and
- III.** Employees are sensitive to payroll errors or irregularities. To maintain good employee morale payroll must be paid on a timely and accurate basis.

### **3.3. Definition of payroll related terms**

**1. Salary and Wages:** Salary and wages are usually used interchangeably.

- **Wages:** is refer to payments to unskilled-manual labor. It is usually paid based on the number of hours worked or the number of units produced. Therefore, wages are usually paid when a particular piece of work is completed or weekly.
  - **Salaries:** refers to payments to employees who render managerial, administrative or similar services, and they are usually paid to skilled labor on a monthly or yearly basis.
2. **The Pay Period:** A pay period refers to the length of time covered by each payroll payment.
  3. **The Pay Day:** The pay day- is the day on which wages or salaries are paid to employees. This is usually on the last day of the pay period.
  4. **A Payroll Register (sheet):** is the list of employees of a business along with each employee's gross earnings; deductions and net pay (take home pay) for a particular pay period. The payroll register (sheet) is prepared based on attendance sheets, punched (clock) cards or time cards.

**The employees work hour duration may come from:**

    - ▶ Attendance sheet- is where employees sign at time of arrival in the working area. Its usually placed in office or admin area
    - ▶ Punched or clock card : its electronical record card in large industries ; employees will have their own card for registered both at time of entering & leaving at work place.
    - ▶ Time card : its similar to punched card except but its manually written.
  5. **Pay Check:** A business can pay payroll by writing a check for the amount of the net pay. A check is prepared in the name of each employee and handed to employees. Alternatively a check for the total net pay can be prepared for employees to the paid by cash at the organization.
  6. **Gross Earnings:** is the total earnings of the employees for a given pay period before deductions.
  7. **Withholding Taxes:** are taxes collected from the earnings of employees by the employer organization as per the regulations of the government. These have to be reimbursed (paid) to the government because employer organization is only acting as an agent of the government in collecting these taxes from employees.
  8. **Payroll Deductions:** are deductions from the gross earnings of an employee such as employment income taxes (withholding taxes),, employee pension contribution (withholding taxes), labor union dues , fines, credit association pays etc.
  9. **Net pay:** is the earning of an employee after all deductions have been made. This is the take home pay amount collected by an employee on the payday

### 3.4.POSSIBLE COMPONENTS OF A PAYROLL REGISTER

**I. Employee Identification Number:** - Number assigned to employees for identification purpose when a relatively large number of employees are involved in a payroll register. It could be an identification card of the employees or a simple serial number.

**II. Name of Employee:** This column lists names of employees of the organization.

**III. Earnings:** Money earned by an employee from various sources. This may include.

1. **Basic Salary:** - a flat monthly salary of an employee for carrying out the normal work of employment and subject to change when the employee is promoted.

2. **Allowance** – Money paid monthly to an employee for special reasons, like:

✚ **Position allowance:** - a monthly allowance paid to an employee for bearing a particular office responsibility.

✚ **Housing allowance:** - a monthly allowance given to cover housing costs of the individual employee when the employment contract requires the employer to provide housing but the employer fails to do so.

✚ **Hardship allowance / or disturbance allowance:-** a sum of money given to an employee to compensate for an inconvenient circumstance caused by the employer. For example, unexpected transfer to a different and distant work area or location.

✚ **Desert allowance** – a monthly allowance given to an employee because of assignment to a relatively hot region.

✚ **Transportation (fuel) allowance** – a monthly allowance to an employee to cover cost of transportation up to his/ her workplace if the employer has committed itself to provide transportation service.

✚ **Cash indemnity allowance:** the amount paid cashiers to cover the risk of possible cash shortage.

**IV. Overtime Earning:** - Overtime work is the work performed by an employee beyond the regular working hours. Overtime earnings are the amount paid to an employee for overtime work performed.

In Ethiopia, the hourly rate of overtime work varies depending on the time period in which the work is performed. In Ethiopia, in this respect, article 68 of labor proclamation No. 377/2003 discussed the following points about how overtime work should be paid; accordingly, a worker shall be entitled to be paid at a rate of:

A. One and One –quarter ( $1\frac{1}{4}$  or 1.25) times his ordinary (regular) hourly rate for overtime work performed before 10:00 P.M in the evening. (6:00AM-10:00 PM) in Western time or 4 o'clock in the evening in Ethiopian time.

- B. One and one half ( $1\frac{1}{2}$  or 1.5) times his ordinary (regular) hourly rate for overtime work performed between 10:00 P.M and six (6:00A.M.) in the morning Western time. 4 o'clock to 12 o'clock in the morning in Ethiopian time.
- C. Two times the ordinary (regular) hourly rate for overtime work performed on weekly rest days.
- D. Two and one half ( $2\frac{1}{2}$  or 2.5 ) times the ordinary (regular) hourly rate for overtime work performed on a public holiday.

**Gross earning = basic salary + allowance + overtime earning**

**V. Deductions:** Either is subtractions made from the earnings of employees required by the government or permitted by the employee yourself. The following are some of the deductions:

- 1. Employment Income Tax:** Every citizen is required to pay employee tax to the government in almost all countries. In Ethiopia also, income tax is charged on the gross earnings of the employee at the rates indicated under schedule A of the Proclamation 979/2016- Income tax proclamation.

Schedule A employment income tax

| No | Employment Income(Per month)<br>From | Difference | Tax rate | Deduction |
|----|--------------------------------------|------------|----------|-----------|
| 1  | 0 - 600                              | 600.00     | Exempt   | -         |
| 2  | 601 - 1,650                          | 1,050.00   | 10%      | 60.00     |
| 3  | 1651 - 3,200                         | 1,550.00   | 15%      | 142.50    |
| 4  | 3201 - 5,250                         | 2,050.00   | 20%      | 302.50    |
| 5  | 5251 - 7,800                         | 2,550.00   | 25%      | 565.00    |
| 6  | 7801 - 10,900                        | 3,100.00   | 30%      | 955.00    |
| 7  | Over 10,900                          | -          | 35%      | 1,500.00  |

#### **Calculations of Deductions**

➤  $60 = (600 \times 0.10) \text{ or } 1650 \times 0.10 - 0.10 \times (1650 - 600) = 165 - 105 = 60$

➤  $142.5 = 600 \times 0.15 + 1050 \times 0.05$

$302.50 = 600 \times 0.20 + 1050 \times 0.10 + 1550 \times 0.05$  and so forth

In other ways tax amount should be computed as follows: Tax amount = taxable income X tax rate – tax deduction

Taxable income: is an income excluding non-taxed income

| Employment income per month |         | Income tax payable      |
|-----------------------------|---------|-------------------------|
| From Birr                   | To Birr |                         |
| 0                           | 600     | No tax                  |
| 601                         | 1650    | $(10\% \times EI) - 60$ |

|             |       |                   |
|-------------|-------|-------------------|
| 1651        | 3200  | (15% X EI) -142.5 |
| 3201        | 5250  | (20% X EI) -302.5 |
| 5251        | 7800  | (25% X EI)-565    |
| 7801        | 10900 | (30 X EI)-955     |
| Above 10900 |       | ( 35% X EI )-1500 |

#### **Exemptions in accordance to Proclamation No. 979/2016**

- ▶ An amount paid by an employer to cover the actual cost of medical treatment of an employee;
- ▶ An allowance in lieu of means of transportation granted under a contract of employment; The maximum tax-exempt allowance is currently set at 2,200 Birr per month, but the allowance cannot exceed 25% of an employee's salary. It is also important to note that the allowance does not cover instances in which an employer arranges for, or gives, a vehicle to a staff member who then uses it to travel between their residence and place of work.
- ▶ Hardship allowance;
- ▶ Transport expenses and per diem payments to an employee travelling on a tour of duty; The maximum tax-exempt allowance is currently set at 2,200 Birr per month, but the allowance cannot exceed 25% of an employee's salary.
- ▶ Travelling expenses paid to an employee recruited from place other than the place of employment on joining or completion of employment.
- ▶ Contributions by an employer to a pension, provident, or other retirement fund for the benefit of an employee provided the monthly total of contributions does not exceed 15% of the monthly employment income of the employee;
- ▶ An amount as compensation for personal injury or the death on another person;
- ▶ Cash indemnity allowance paid by an employer to an employee, but only to the extent that the allowance compensates the employee for shortfalls on money counts;
- ▶ Income from employment received by unskilled employee working for the same employer whether continuously or intermittently for not more than thirty (30) days within any twelve month period; provided, however, that the tax payable on income from employment received by a casual employee working intermittently for the same employer for more than thirty (30) days within twelve months period shall be calculated only on the income received by that employee from the last employment;

#### **2. Pension contributions**

- Permanent employees of an organization the employees of which are governed by the existing regulations of the Ethiopian Public Servants are expected to pay or contribute 7% of

their basic (monthly) salary to the government Pension Trust Fund. This amount should be withheld by the employer from the basic salary of each employee on every payroll and later be paid to the respective government body.

- On the other hand, the employer is also expected to contribute towards the same fund 11% of the basic salary of every permanent employee of it. It is this amount often called as Payroll Taxes Expense to the employer organization (i.e., 11% of the total basic salary of all permanent employees).

**Consequently**, the total contribution to the Pension Trust Fund of the Ethiopian Government is equal to 18% of the total basic salary of all permanent employees of an organization (i.e., 7% comes from the employees and the 11% comes from the employer). This enables a permanent employee of an organization to be entitled to the pension pay given that the employee has satisfied the minimum requirement to enjoy this benefit when retired.

- 3. Other Deductions:** Apart from the above two kinds of deductions, employees may individually authorize additional deductions such as deductions to pay life insurance premiums, to repay loan from the employer, to pay for donation to charitable organization, contributions to "Idir" etc.

**Total deduction= Employment income tax + Pension Contribution + Other Deductions**

**VI. Net Pay:** Net Pay represents the excess of gross earnings over total deductions of an employee.

**VII. Signature:** The payroll sheet should have a column for signature of the employee to be taken when the employee collects the net pay. This works only when the payroll system is working manually. In an electronic payment system, signature may not be required as the transfer is made electronically directly to the individual accounts.

Example: BUSAJO is a Non-government agency recently organized to rehabilitate street children. It has five employees whose salaries are paid according to the Ethiopian calendar month. The following data relates to the month of Oct 2015.

| S. No | Name of employee | Basic salary | Taxable allowance | Nontaxable allowance | Overtime hours worked | Duration        |
|-------|------------------|--------------|-------------------|----------------------|-----------------------|-----------------|
| 1     | Kiya             | 7300         | 1500              | 700                  | 10                    | 6AM-10PM        |
| 2     | Meron            | 10200        | 500               | 850                  | 6                     | 10PM -6AM       |
| 3     | Sifen            | 5300         | 1500              | 650                  | 8                     | Weekly rest day |
| 4     | Yosan            | 3700         | 700               | 500                  | 10                    | Public holidays |
| 5     | Fasil            | 11700        |                   | 400                  |                       |                 |

**Additional Information:**

- a) The enterprise's pay period (month) consists of 160 normal working hours it pays the overtime in accordance with set in article 68 of labor proclamation No. 377/2003.
- b) There were no absentees during the month
- c. All employees are permanent except Fasil
- c) Meron agreed to contribute monthly Br. 300 from her salary as a monthly saving in the credit association of the enterprise.

**Required:**

- a) Prepare a payroll register (sheet) for the enterprise for the month of Oct, 2015.
- b) Record the payment of salary as end of Oct, 2015.
- c) Record the payment of the claim of the credit association of their enterprise on Nov1, 2015.
- d) Record the payment of the withholding taxes and pension contribution to the concerned government body Oct, 2015.
- e) Compute and recognize the total payroll tax expense for the month of Oct, 2015.

**Solution:**

Computation of Earnings, Deductions, and Net Pay  
 Gross Earnings = Basic salary + Allowance + Overtime Earning + other earning.

**Kiya :**

First, compute the regular hourly rate:

$$\text{Regular Hourly Salary Rate} = \frac{\text{Basic salary}}{\text{Normal working Hours in the Month}} = \frac{\text{Br.7300}}{160 \text{ Hrs.}}$$

Therefore, the regular hourly payment = Br. 45.625/hr.

OT Earning = Over time hours worked x Regular Hourly Salary Rate x Over time (OT) pay rate

$$\text{Over time (OT) Earning} = 10 \text{ hrs.} \times \frac{\text{Br.7300}}{160 \text{ Hrs}} \times 1.25 \text{ Br.} = \text{Br.570.31}$$

Gross Earnings = Basic salary + Allowance + OT Earning

$$\text{Gross Earnings} = \text{Br. 7300} + \text{Br. 2200} + \text{Br.570.31} = \text{Br. 10070.31}$$

**b. Meron chala**

First compute the regular hourly rate:

$$\text{Regular Hourly Salary Rate} = \frac{\text{Basic salary}}{\text{Normal working Hours in the Month}} = \frac{\text{Br.10200}}{160 \text{ Hrs}},$$

Therefore, the regular hourly payment = Br. 63.75/hr.

OT Earning = Over time hours worked x Regular Hourly Salary Rate x Over time (OT) pay rate

$$\text{Over time (OT) Earning} = 6 \text{ Hrs.} \times \frac{\text{Br.10200}}{160 \text{ Hrs}} \times 1.5 \text{ Br.} = \text{Br.573.75}$$

Gross Earnings = Basic salary + Allowance + OT Earning

Meron chala: Gross Earnings = Br. 10200 + Br. 1350 + Br.573.75 = Br. 12123.75

**c. Sifen Beka**

First compute the regular hourly rate:

$$\text{Regular Hourly Salary Rate} = \frac{\text{Basic salary}}{\text{Normal working Hours in the Month}} = \frac{\text{Br.5300}}{160 \text{ Hrs}},$$

Therefore, the regular hourly payment = Br. 33.125/hr.

OT Earning = Over time hours worked x Regular Hourly Salary Rate x Over time (OT) pay rate

$$\text{Over time (OT) Earning} = 8 \text{ Hrs.} \times \frac{\text{Br.5300}}{160 \text{ Hrs}} \times 2 \text{ Br.} = \text{Br.530}$$

Gross Earnings = Basic salary + Allowance + OT Earning

Sifen Beka:

Gross Earnings = Br.5300 + Br. 2150 + Br.530 = Br. 7980

**d. Yosan Daniel**

First compute the regular hourly rate:

$$\text{Regular Hourly Salary Rate} = \frac{\text{Basic salary}}{\text{Normal working Hours in the Month}} = \frac{\text{Br.3700}}{160 \text{ Hrs}},$$

Therefore, the regular hourly payment = Br. 23.125/hr.

OT Earning = Over time hours worked x Regular Hourly Salary Rate x Over time (OT) pay rate

Over time (OT) Earning = 10 Hrs. x Br. 23.125/hr. x 2.5 Br. = Br.578.13

Gross Earnings = Basic salary + Allowance + OT Earning

**Yosan Daniel:** Gross Earnings = Br. 3700 + Br. 1200 + Br.578.13 = Br. 5478.13

**Fasil Tariku:** Gross Earnings = Basic salary + Allowance + OT Earning + other benefits

Since Fasil's monthly income is basic salary and non-taxable allowance, his gross earning is the sum of basic salary and non-taxable allowance.

**Fasil Tariku:** Gross Earnings = Br. 11700 + Br. 400 = Br. 12100

Gross Earnings = Basic salary + Allowance + OT Earning + other benefits

a) Kiya yishalal: Gross Earnings = Br. 7300 + Br. 2200 + Br.570.31 = Br. 10070.31

b) Meron chala: Gross Earnings = Br. 10200 + Br. 1350 + Br.573.75 = Br. 12123.75

c) Sifen Beka: Gross Earnings = Br.5300 + Br. 2150 + Br.530 = Br. 7980

d) Yosan Daniel: Gross Earnings = Br. 3700 + Br. 1200 + Br.578.13= Br. 5478.13

e) Fasil Tariku: Gross Earnings = Br. 11700 + Br. 400 = Br. 12100

### C .Deductions and Net Pay

#### I. Kiya Yishalal:

Gross Earnings \_\_\_\_\_ Br. 10070.31

Taxable Employment Income = Gross Earning – Nontaxable allowance/Exempted income

Taxable Employment Income = Br. 10070.31 –700 = 9370.31

Employee Income Tax = Taxable Employment Income \* tax rate – deduction related to tax

Bracket Employment Income Tax =9370.31Br. \*30%-955= 1856.09 Br.

Employment Income Tax can be calculated by using progressive method as follows

Pension contribution = basic salary of permanent employee \* rate of pension contribution =Br.

7300 \* 7%= Br. 511

Net pay= Gross Earnings – Total deductions = Br. 10070.31 - (1856.09+ Br.

511)= Br. 10070.31 -2367.09= 7703.22

#### II. Meron Chala Gross Earnings..... Br. 12123.75

Taxable Employment Income = Gross Earning – Nontaxable allowance/Exempted income

Taxable Employment Income = Br. 12123.75–850 = 11273.75

Employment Income Tax = Taxable Employment Income \* tax rate – deduction related to tax

Bracket Employment Income Tax = Br. 11273.75 \*35%-1500 = 2445.81 Br.

Pension contribution = Basic salary of permanent employee \* rate of pension contribution

=Br.10200\* 7%= Br. 714

Voluntary monthly contribution for saving in the credit association of the enterprise Br. 300 Net pay=

Gross Earnings – Total deductions

Net pay = Br. 12123.75 – (Br. 2445.81+ Br. 714+Br. 300) = Br. 12123.75 –3459.81 = Br.

8663.94

#### III. Sifen Beka

Gross Earnings ..... = Br. 7980

Taxable Employment Income = Gross Earning – Nontaxable allowance/Exempted income

Taxable Employment Income = Br. 7980–650 = Br. 7330

Employment Income Tax = Taxable Employment Income \* tax rate – deduction related to tax

Bracket Employment Income Tax = Br. 7330 \*25%-565 = 1267.50 Br.

Pension contribution = basic salary of permanent employee \* rate of pension contribution

=Br. 5300\* 7%= Br. 371

Net pay= Gross Earnings – Total deductions Net pay = Br. 7980– (Br.

1267.50+ Br. 371) = = Br. 7980–1638.5 = 6341.5.

IV. Yosan Daniel: Gross Earnings ..... = Br. 5478.13

Taxable Employment Income = Gross Earning – Nontaxable allowance/Exempted income

Taxable Employment Income = Br. 5478.13–500 = Br. 4978.13 Employment Income Tax =

Taxable Employment Income \* tax rate – deduction related to tax Bracket Employment Income

Tax = Br. 4978.13 \*20%-302.5 = Br. 693.13 Pension contribution = basic salary of permanent

employee \* rate of pension contribution =Br.3700\* 7%= Br. 259 Net pay= Gross Earnings –

Total deductions

Net pay = Br.5478.13– (Br. 693.13 + Br. 259) = = Br. 5478.13–952.13 = Br.

4526.

V. Fasil Tariku Gross Earning\_\_\_\_\_ = Br. 12100

Taxable Employment Income = Gross Earning – Nontaxable allowance/Exempted income

Taxable Employment Income = Br. 12100– Br. 400= Br. 11700

Employment Income Tax = Taxable Employment Income \* tax rate – deduction related to tax

Bracket Employment Income Tax = Br. 11700\*35%-1500 = Br. 2595

NB. No pension contribution because he is not permanent employee of the organization.

Therefore, total deduction is the same as Employee Income Tax, Br. 2595.

Net pay= Gross Earnings – Total deductions Net pay = Br.12100– Br. 2595 = = Br. 9505

| No  | name             | salary      | wan<br>ce | time        | earnin<br>gs | e tax       | contribu<br>tion | deduct<br>ion | Total<br>deducti<br>ons | Net<br>pay   | Sig<br>n |
|-----|------------------|-------------|-----------|-------------|--------------|-------------|------------------|---------------|-------------------------|--------------|----------|
| 01  | Kiyayishala<br>l | Br.<br>7300 | 2200      | 570.31      | 10070.<br>31 | 1856.0<br>9 | 511              |               | 2367.09                 | 7703.2<br>2  |          |
| 02  | Meronchala       | 10200       | 1350      | 573.75      | 12123.<br>75 | 2445.8<br>1 | 714              | 300           | 3459.81                 | 8663.9<br>4  |          |
| 03  | SifenBeka        | 5300        | 2150      | 530         | 7980         | 1267.5      | 371              |               | 1638.5                  | 6341.5       |          |
| 04  | Yosan<br>Daniel  | 3700        | 1200      | 578.13      | 5478.1<br>3  | 693.13      | 259              |               | 952.13                  | 4526         |          |
| 05  | Fasil Tariku     | 11700       | 400       |             | 12100        | 2595        |                  |               | 2595                    | 9505         |          |
| Sum |                  | 38200       | 7300      | 2252.1<br>9 | 47752.<br>19 | 8857.5<br>3 | 1855             | 300           | 11012.5<br>3            | 36739.<br>66 |          |

### Payroll-related journal entries

i. An entry to record the payment of salary:

Salary expense\_\_\_\_\_47752.19  
Cash\_\_\_\_\_36739.66  
Pension contribution payable\_\_\_\_\_1855.00  
Employee's income tax payable\_\_\_\_\_8857.53  
Credit association's payable\_\_\_\_\_300.00

ii. An entry to record the payment of the claim of the credit association of the enterprise

Credit association's payable\_\_\_\_\_300.00  
Cash\_\_\_\_\_300.00

iii. An entry to record the payment of withholding tax and pension contribution to concerned government body.

Pension contribution expense\_\_\_\_\_2915.00  
Pension contribution payable\_\_\_\_\_1855.00  
Employee income tax payable\_\_\_\_\_8857.53  
Cash\_\_\_\_\_13627.53

Salary expense of 47752.19 is the sum of gross earnings. Cash of 36739.66 is the sum of net pays. Pension contribution payable of 1855.00 is the sum of employees' pension contribution which is 7% of permanent employees' basic salary. Employees' income tax payable of 8857.53 is the sum of employees' income tax. Pension contribution expense of 2915.00 is the total pension contribution of the employer which is 11% of permanent employee's basic salary.